

Appendix B

THE MESSAGE FROM FIXED TIME CYCLES

Time forecasting (as opposed to recognizing an important juncture as it is occurring) is the most difficult analytical task using the currently known tools of the Wave Principle. While time analysis provides specific possibilities, they only become high or low *probabilities* when each suggested time relationship is actually approached.

Until the time length of patterns can be more accurately forecast, I feel compelled by the challenge of the puzzle to apply any and all tools that have some applicability to the time forecasting problem. The main one of these is fixed-time cycles. Stock market history reveals a tendency for prices to bottom at regular intervals, with advances in between.

Unfortunately, cycles are inherently unreliable. As countless analysts have observed, cyclic market behavior is subject to changes in emphasis, shifts in length, and even disappearance. Cycle enthusiasts are at a loss to explain these repeated disappointments, although some have devised methods for dealing with them that are quite inventive and often useful in practical application.

The reason for the difficulty is that cycles are not the essence behind the market's behavior. Market behavior is based upon chaotic processes, which are perfectly patterned, yet not perfectly regular. Upon occasion, times of prolonged regular periodicity arise as a by-product. As an example outside the realm of time, you may have noticed that computer generated fractal artworks often contain, in the midst of a chaotic tapestry, a perfect oval or other such form. That form is a *by-product* of the process, not the generator of the process. The same thing is true of market cycles: They are a by-product of the process, not the generator. While chaotic processes show regular forms for brief times, they then disappear, like a bubble in boiling water. Because the market is a chaotic process, its precise repetitions are similarly temporary.

For this reason, expecting fixed periodicities to repeat is a bit like playing Russian Roulette. We know that the cycle will disappear someday. Yet we also know that until that day comes, it can repeat many times with remarkable precision. A classic example is